A

1. Option (iii)

2. Option (i)

3. (a) μ = mean # of work hours per week lost to absenteeism.

   (b) $H_0: \mu = 43.8$ vs. $H_a: \mu > 43.8$

4. (a) point estimate $\hat{p} = \frac{29}{79} = 0.3671$

   95% CI: $0.3671 \pm 2(0.0551)$, or $(0.2569, 0.4773)$

   (b) qnorm(0.99)

5. (a) Type I

   (b) increase